

succeed in business is to give the customers what they want. Since the most profitable customers want speculative advice and suggestions, the thinking and activities of the typical firm are pretty closely geared to day-to-day trading in the market. Thus it tries hard to help its customers make money in a field where they are condemned almost by mathematical law to lose in the end.[†] By this we mean that the speculative part of their operations cannot be profitable over the long run for most brokeragehouse customers. But to the extent that their operations resemble true investing they may produce investment gains that more than offset the speculative losses.

The investor obtains advice and information from stock-exchange houses through two types of employees, now known officially as “customers’ brokers” (or “account executives”) and financial analysts.

The customer’s broker, also called a “registered representative,” formerly bore the less dignified title of “customer’s man.” Today he is for the most part an individual of good character and considerable knowledge of securities, who operates under a rigid code of right conduct. Nevertheless, since his business is to earn commissions, he can hardly avoid being speculation-minded. Thus the security buyer who wants to avoid being influenced by speculative considerations will ordinarily have to be careful and explicit in his dealing with his customer’s broker; he will have to show clearly, by word and deed, that he is not interested in anything faintly resembling a stock-market “tip.” Once the customer’s broker understands clearly that he has a real investor on his hands, he will respect this point of view and cooperate with it.

The financial analyst, formerly known chiefly as security analyst, is a person of particular concern to the author, who has been one himself for more than five decades and has helped educate countless others. At this stage we refer only to the financial analysts employed by brokerage houses. The function of the security analyst is clear enough from his title. It is he who works up the detailed studies of individual securities, develops careful comparisons of various issues in the same field, and forms an expert opinion of the safety or attractiveness or intrinsic value of all the different kinds of stocks and bonds.

By what must seem a quirk to the outsider there are no formal requirements for being a security analyst. Contrast with this the facts that a customer’s broker must pass an examination, meet the required character tests, and be duly accepted and registered by the New York Stock